25900778 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR /IMPROVEMENT/ REAPPEARANCE EXAMINATION NOVEMBER 2025

FIRST SEMESTER

Discipline Specific Core Course (DSC) - MG1DSCCOM100 - BASIC FINANCE FOR DAILY LIFE

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 15 Minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Attempt any **20** Questions

Each Question carries **1** mark

1. Financial literacy primarily helps in: [K] / [CO1]

   a). Avoiding financial responsibilities

   b). Managing Financial resources effectively

   c). Ignoring Budgeting

   d). Spending Lavishly

2. EMI stands for: [K] / [CO2]

   a). Equal Monthly Instalment

   b). Equal Money Instalment

   c). Equated Monthly Instalment

   d). Equated Monthly Interest

3. Financial ethics incorporates the following factors (i) Honesty (ii) Justice (iii) Fairness (iv) Sense of Humour [An] / [CO1, CO4]

   a). (i), (ii) and (iv) only

   b). (i), (iii) and (iv) only

   c). (ii), (iii) and (iv) only

   d). (i), (ii) and (iii) only

4. Jan Dhan Yojana offers [U] / [CO5]

a). Accident Insurance Cover b). Tax benefits

c). NRI account d). All of the options

5. Media and _____ play a significant role in financial socialization by shaping attitudes toward materialism, spending, and consumption. [K] / [CO1]

a). Education b). Advertising

c). Friendships d). Savings

6. What does a longer term for loan repayment imply? [An] / [CO2, CO3]

a). Lower EMI b). Lower interest rate

c). Higer EMI d). Higher processing fees

7. Which attitude towards money is most likely to encourage financial risk-taking? [A] / [CO3]

a). Fear of loss b). Scarcity mindset

c). Materialistic attitude d). Abundance mindset

8. The account with the least interest rate is [U] / [CO5]

a). Savings account b). Senior citizen account

c). Recurring deposit account d). Fixed Deposit Account

9. Primary focus of financial literacy is on [U] / [CO1]

a). Reading financial newspapers b). Understanding how to manage money, savings, and investments

c). Learning about economic history d). Memorizing financial terms

10. Which of the following entities issues CDs? [An] / [CO3]

a). Corporations b). Governments

c). Banks and other Financial Instituitions d). Mutual funds

11. Calculate the total amount to be repaid after borrowing Rs.5,000 at 4% simple interest for 5 years. [A] / [CO3]

a). 1,000 b). 5,200

c). 6,000 d). 6,500

12. What is the main advantage of term life insurance over whole life insurance? [U] / [CO5]

a). investment opportunities b). It has lower initial premiums

c). It offers lifelong protection d). It covers all types of risks

13. One way to avoid accumulating _____ is to spend only what you can afford and pay your bills on time. [K] / [CO1]

a). Debt b). Savings

c). Assets d). Income

14. How long is the typical duration of a general insurance policy? [K] / [CO2, CO3]

a). 1 year b). 5 years

c). 10 years d). Indefinite

15. A person who consistently saves and invests wisely demonstrates which financial attitude? [U] / [CO3]

a). Impulsiveness b). Financial discipline

c). Negligence d). Irresponsibility

16. The Union Budget is an example of which type of finance? [U] / [CO1]

a). Business b). Public

c). Personal d). Social

17. Which of the following is considered as a real asset? [An] / [CO3]

a). A mutual fund b). Gold

c). A savings account d). A corporate bond

18. Which type of financial behaviour prioritizes immediate rewards over long-term gains? [U] / [CO4]

a). Investing b). Risk aversion

c). Impulsivity d). Budgeting

19. What is the primary objective of an investment? [An] / [CO3]

a). To spend all your money b). To rely solely on savings

c). To avoid any risks

d). To grow wealth over time

20. "Inaction breeds doubt and fear" - With which concept can this statement be linked? [A] / [CO4]

a). Investment inertia

b). Anchoring

c). Herd behaviour

d). None of the options

21. The primary purpose of family financial planning is to: [U] / [CO4]

a). Spend as much as possible

b). Achieve financial goals and security

c). Increase impulsive purchases

d). Avoid budgeting entirely

22. What is the primary psychological factor that can lead investors to make irrational decisions during market volatility? [U] / [CO4]

a). Optimism

b). Fear

c). Greed

d). Indifference

[20x1 = 20]

Part B

Multiple Choice Questions

Answer any **25** Questions

Each Question carries **2** marks

23. Two stocks have the following returns over the past five years: Stock A: 8%, 5%, 12%, 10%, 9%, and Stock B: 6%, 5%, 7%, 6%, 8%. If an investor seeks stability, which stock would be the better choice, and why? [U] / [CO1]

a). Stock A, because it has higher returns.

b). Stock A, because it has lower volatility.

c). Stock B, because it has higher average returns.

d). Stock B, because it has less volatility.

24. Interest growth rate in case of (a) simple interest (b) compound interest is: [A] / [CO2]

a). (a) Exponential, (b) Linear

b). (a) Linear, (b) Exponential

c). (a) Exponential, (b) Exponential

d). (a) Linear, (b) Linear

25. From the following, select the elements of financial well being. (i) Evaluation of meeting financial goal. (ii) Financial control (iii) Proper budgeting (iv) Maximum investments [U] / [CO1, CO4]

a). (i), (ii) and (iv) only

b). (ii), (iii) and (iv) only

c). (i), (ii) and (iii) only

d). All of the options

26. The Tarun scheme and Kishore of MUDRA Yojana offer an amount of maximum …….. and …….., respectively, to the micro entrepreneurs. [U] / [CO5]

a). ₹10,00,000 and ₹5,00,000

b). ₹1,00,000 and ₹5,00,000

c). ₹5,00,000 and ₹10,00,000

d). ₹10,00,000 and ₹1,00,000

27. Which of the following is NOT a decision affected by financial literacy? [U] / [CO1]

a). Understanding credit card interest rates

b). Deciding on investments for retirement

c). Choosing a new hobby

d). Evaluating insurance policies

28. What is the primary purpose of pure insurance? [A] / [CO2, CO3]

a). To generate savings

b). To provide financial protection against death during a specified term

c). To invest in the stock market

d). To cover health expenses

29. Calculate the EMI for a loan of Rs. 500,000 at an interest rate of 9% for 2 years. [A] / [CO3]

a). Rs.24583

b). Rs.24500

c). Rs.24533

d). Rs.24522

30. Identify the correct statement(s): (i) Financial inclusion is possible by opening a bank account. (ii) Keeping money under the bed is safer than depositing it in a scheduled bank. (iii) Address proof is not required to open a savings account. (iv) Overdraft facilities are available in current accounts. [U] / [CO5]

a). (iii) only

b). (ii), (iii) and (iv) only

c). (i) and (iv) only

d). (i), (ii) and (iii) only

31. Credit management involves _____ [U] / [CO1]

a). Managing savings and emergency funds

b). Investing in stocks only

c). Spending money without any credit limit

d). Understanding how to use credit responsibly, including credit scores and interest rates

32. Which is the type of interest which doesn't take inflation into account? [U] / [CO2]

a). Simple interest
b). Compound interest
c). Nominal interest
d). Effective interest rate

33. From the following, identify the features of credit behaviour. (i) Management of allocation of fund (ii) Management of repayment of loan (iii) Setting of financial goal. (iv) Developing a financial Plan [U] / [CO4]

a). (i) and (ii) only
b). (i), (ii), (iii) and (iv)
c). (ii) and (iii) only
d). (iii) and (iv) only

34. Which of the following statements best describes the concept of financial socialization? [K] / [CO1]

a). It is the process by which individuals become wealthy through investments.
b). It is the development of skills and knowledge needed to make informed financial decisions through social influences.
c). It is the method of obtaining financial independence by working full-time.
d). It is the exclusive role of financial institutions in educating the public about finances.

35. Simple interest is calculated on which of the following? [K] / [CO2]

a). Interest on the Principal amount only
b). Growing interest
c). Investment & interest earned
d). None of the options

36. Which of the following statement is true? [A] / [CO3]

a). Attitudes can only be positive or negative.
b). Attitudes can be positive, negative, or somewhere in between.
c). Attitudes must be exclusively positive.
d). Attitudes must be exclusively negative.

37. In which type of bond the bondholder retains the right to convert the bond at any time until maturity? [An] / [CO3]

a). Corporate Bonds
b). Government Bonds
c). Convertable Bonds
d). zero- coupon Bonds

38. Which of the following statement is/are false? i) Individuals with a growth mindset tend to have a more constructive approach to decision-making. ii)Attitudes have no significant impact on ethical decision-making. [A] / [CO3]

a). (i) only
b). (ii) only
c). Both (i) and (ii)
d). Neither (i) nor (ii)

39. Given below are two statements, an Assertion (A) followed by a possible Reason (R). Choose the answer based on the given options: Assertion (A): Peer-to-peer lending platforms eliminate the need for traditional banks. Reason (R): These platforms connect borrowers directly with individual investors. [An] / [CO3]

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is not the correct explanation of A.
c). A is true, but R is False.
d). A is false, but R is true.

40. If Rs. 10,000 is invested at 5% p.a. compounded half-yearly, what will be the total amount after 2 years? [A] / [CO3]

a). Rs.11038
b). Rs.12038
c). Rs.13038
d). Rs.14038

41. What is "risk" in investing? [An] / [CO2, CO3]

a). The chance of making a profit
b). The uncertainity associated with returns from investment.
c). The total amount invested
d). The interest rate earned

42. Two loans have the same principal, but Loan A is at 8% simple interest for 3 years, and Loan B is at 7% simple interest for 4 years. Which loan will result in lower total interest? [A] / [CO3]

a). Loan A
b). Loan B
c). Both have the same interest
d). Loan A has higher principal

43. Evaluate the impact of a materialistic money attitude on long-term financial health. [A] / [CO3]

a). It promotes savings and security.
b). It may lead to excessive spending and debt.
c). It encourages charitable donations.
d). It increases one's sense of financial independence.

44. What is foreclosure? [An] / [CO4]

a). Paying of more EMI in a month.
b). Payment of whole outstanding loan amount before the due date.

c). Payment of whole interest initially.

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45. Which of the following statements is/are correct? Statement I: Automating investments through dedicated tools helps to overcome investor inertia. Statement II: Regular reviews of investment portfolios helps to overcome investor inertia. [U] / [CO4]

a). Statement I only

b). Statement II only

c). Both statements are correct

d). Neither statement I nor II is correct

46. Match the Following: A.Lack of Financial Literacy 1) Not having the knowledge to make informed decisions. B.Avoiding Risk 2) Reluctance to take on any investment risk. C.Believing in “Hot Tips” 3) Following unsolicited advice without research. D.Failing to Seek Professional Advice 4) Not consulting experts when needed. [A] / [CO4]

a). A - 4, B - 2, C -3, D - 1

b). A - 1, B - 3, C -2, D - 4

c). A - 1, B - 2, C -3, D - 4

d). A - 4, B - 2, C -1, D - 3

47. Given below are two statements, an Assertion (A) followed by a possible Reason (R). Choose the answer based on the given options: Assertion (A): Lender considers the value of collateral security for setting the credit limit of the customer. Reason (R): Credit limit is applied only for a borrower with collateral security. [An] / [CO4]

a). Both A and R are true, R is the correct explanation of A.

b). Both A and R are true, R is not correct explanation of A.

c). A is true but R is False.

d). A is False , R is True.

48. CIBIL score is the summary of: (i) Credit history (ii) Type of Bank (iii) Repayment behaviour (iv) Credit utilisation [An] / [CO4]

a). (i), (ii) and (iii) only

b). (i), (iii) and (iv) only

c). (i), (ii), (iii) and (iv)

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49. Identify a feature of Money Back Insurance policies? [U] / [CO2, CO3]

a). No life cover is provided

b). Lump sum paid at the end of the policy term

c). Regular cash payments at intervals during the policy term

d). All premiums are invested in debt funds

[25x2 = 50]

25900778 **B**

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a). A - 4, B - 2, C -3, D - 1
b). A - 1, B - 3, C -2, D - 4
c). A - 1, B - 2, C -3, D - 4
d). A - 4, B - 2, C -1, D - 3

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